

Sources and Uses of Funds

Proposed acquisition of the business of Varnholt Climate Services LLC by Varnholt Acquisition LLC
Prepared August 31, 2026 for Zelmivar Bank - SBA 7(a) request

Sources	
Senior loan	\$900,000
Buyer cash	\$150,000
Seller financing	\$50,000
Total sources	\$1,100,000

Uses	
Purchase	\$1,000,000
Other uses	\$100,000
Total uses	\$1,100,000

Transaction summary	
Purchase price	\$900,000
Seller note amount	\$50,000
Seller note terms	Full lifetime standby

Equity injection is verified by the buyer's bank statements for the two months before closing. Any seller note counted toward the injection must be on full standby for the life of the SBA loan. Closing costs and the SBA guaranty fee are financed within the working capital line.